

The Report Fraud Annual Assessment FY2025-26

Cyber Crime and Fraud

A comprehensive analysis of the Report Fraud data, which helps inform the assessment of the threat from cyber crime and fraud.

Released September 2026 V1



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I am pleased to introduce the first Report Fraud Annual Assessment for Cyber Crime and Fraud FY2025–26. This assessment provides a strategic overview of the cyber crime and fraud threats reported across England, Wales and Northern Ireland, highlighting key trends, emerging risks and opportunities identified through intelligence provided by victims, businesses and partner organisations.

Cyber crime and fraud continue to have a significant impact on individuals, communities and businesses. Whilst criminal methods continue to evolve, the harm they cause remains constant. Behind every report is a victim who may have experienced financial loss, emotional distress, disruption to their business, or a loss of trust and confidence. Understanding that harm, and the threats driving it, remains central to our response.

This has been an important year for the national cyber crime and fraud reporting service, Report Fraud. Following its launch in December 2025, we have already begun to realise the benefits of enhanced reporting capabilities, richer intelligence collection and improved data quality. Combined with new partner data sources, this has enabled a broader and more detailed understanding of the threats affecting individuals, businesses and communities.

This assessment also reflects an important evolution in our analytical approach. Enhanced reporting pathways and revised question sets have strengthened the alignment of reports to the appropriate Home Office Counting Rules, creating greater consistency in how cyber crime and fraud are recorded, analysed and understood.

This provides a stronger foundation for assessing threat, risk and harm and identifying meaningful trends across the reporting landscape. The scale of the challenge remains significant. Reported losses exceeded £3.2bn during the assessment period, whilst reporting volumes continue to demonstrate the prevalence of cyber crime and fraud across society. Investment fraud, romance fraud, payment diversion fraud and courier fraud remained among the most harmful threats reported. At the same time, cyber-enabled offending continues to grow in sophistication and complexity.

A key theme throughout this year's assessment is the increasing role of technology in enabling offending. Most notably, reports identifying the use of artificial intelligence (AI) increased significantly during the reporting period. Whilst the full extent of AI-enabled cyber crime and fraud remains unknown, the intelligence within this assessment demonstrates that emerging technologies are already influencing criminal methodologies and will continue to shape the threat landscape in the years ahead.

The findings also reinforce that fraud is not solely a financial crime. The links between cyber crime, fraud, vulnerability and safeguarding continue to be evident, including offences affecting older victims, online account compromise, romance fraud and violence against women and girls.

Alongside these challenges, there have been significant achievements across the counter-fraud landscape. Collaboration with partners including the National Economic Crime Centre, National Crime Agency, National Cyber Security Centre, The Pensions



Regulator, Cifas and wider industry partners has strengthened the national intelligence picture and supported prevention, safeguarding and disruption activity.

Importantly, this enhanced intelligence picture is now helping to drive action. Our improved understanding of threat, risk and harm has supported the development of a refreshed, data-led Control Strategy for cyber crime and fraud policing, while collaboration with the National Economic Crime Centre has informed the development of a joint Strategic Action Plan focused on the threats causing the greatest harm.

Finally, I would like to thank everyone who has contributed to this assessment and our wider response to cyber crime and fraud. In particular, I would like to recognise the professionalism and dedication of colleagues across Report Fraud, our partners across law enforcement, government, industry and the third sector, and especially the Intelligence Services Team, whose expertise and insight have been instrumental in producing this assessment.

Every report matters. Every report strengthens the intelligence picture, and every report helps improve our collective ability to protect the public and prevent harm. I hope you find this assessment informative and valuable. As always, feedback is welcomed.

Amanda Wolf
AMANDA WOLF

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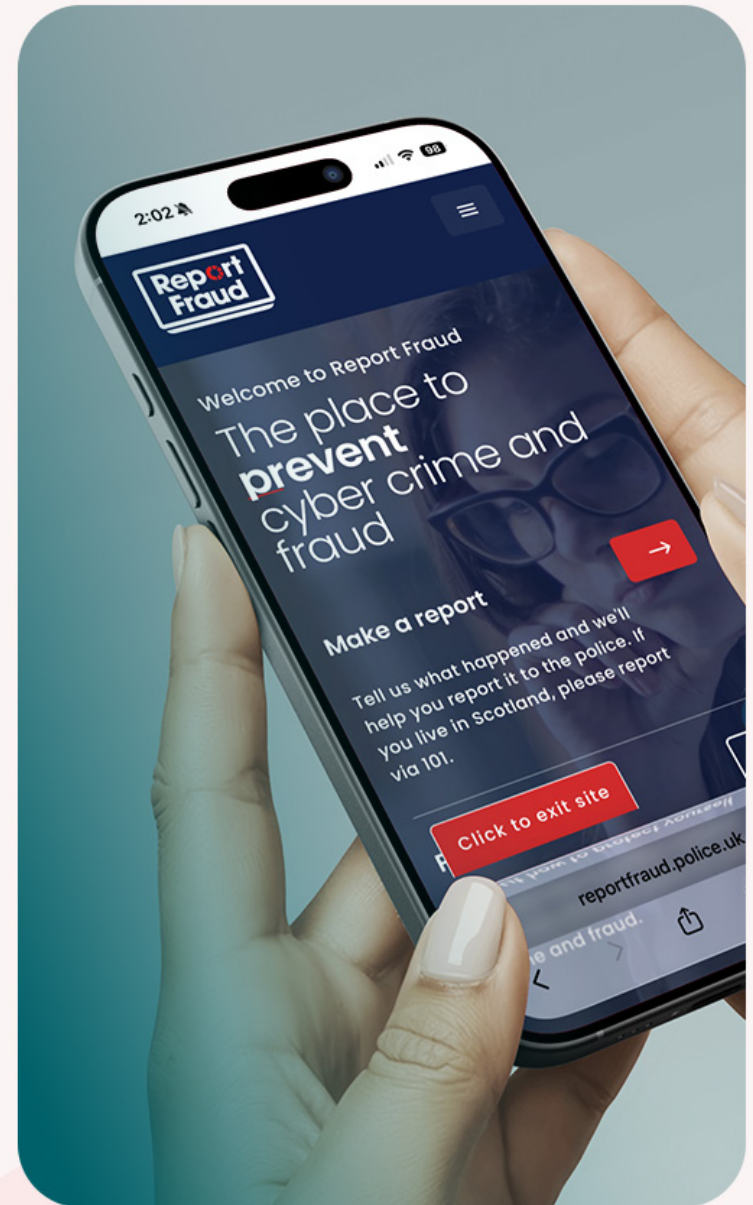
HANDLING

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REPORT FRAUD

Our New National Service



Report cyber crime and fraud:
reportfraud.police.uk

WHAT IS REPORT FRAUD?

Report Fraud is the new national reporting service for cyber crime and fraud, delivered by the City of London Police to transform how cyber crime and fraud are reported across England, Wales and Northern Ireland. Replacing the legacy reporting experience, the service has been designed to provide a more accessible, victim-centred journey, underpinned by a trauma-informed design.

Alongside improving the experience for victims, Report Fraud enhances the quality of data and intelligence available to policing and partners, strengthening the national response to fraud and supporting more effective protection, prevention, disruption and investigation. Since launch, communications and engagement activity has focused on building public awareness and trust, engaging key stakeholders across government, policing and industry, and positioning Report Fraud as a significant step forward in the national approach to tackling fraud. The initial launch of the Report Fraud public campaign has established a strong foundation for raising awareness of the new national reporting service and building confidence with stakeholders and the public.

Over the past seven months, the campaign has secured high-profile engagement across Parliament, national broadcast media, industry conferences and trusted third-party advocates, positioning Report Fraud as a key component of the UK's response to cyber crime and fraud.

A significant milestone was the parliamentary briefing, which demonstrated the collaborative approach underpinning the service and highlighted its victim-centred design, enhanced data-sharing capabilities and trauma-informed approach. Media opportunities, including BBC, Times Radio and Which?, alongside engagement with recognised fraud experts and influencers, have broadened the service's reach and credibility.

Digital performance has also shown encouraging early results. A video-led social media strategy has driven increased public engagement, with video views increasing by over 32,900, impressions by more than 16,800, and interactions continuing an upward trajectory.

Looking ahead, continued media activity, stakeholder engagement and influencer partnerships will build on this momentum, ensuring sustained awareness and supporting the long-term adoption of the Report Fraud service.

REPORT FRAUD 2026 CAMPAIGN ACTIVITY JULY 2026 – MARCH 2027

Q2 (Jul-Sep 2026) Advanced Fee Fraud, Premier League Counterfeit Goods, Fraud by Abuse of Position

Q3 (Oct-Dec 2026) Cyber Security Awareness Month, Social Media & Email Hacking, Card & Payment Fraud, Online Shopping Fraud, World Romance Scam Prevention Day, International Fraud Awareness Week, Black Friday/Cyber Monday Fraud, Safer Giving Tuesday, Travel Tuesday/Black Fraud Day, 12 Frauds of Christmas, Counterfeit Toys, Christmas Anti-Counterfeiting Activity, Online Shopping & Delivery Fraud

Q4 (Jan-Mar 2027) Recruitment Fraud, Romance Fraud, Retail Fraud, Bank Fraud, Investment Fraud

CONTINUOUS IMPROVEMENT AND INTEROPERABILITY

- Further secondees working within City of London Police and Report Fraud
- Greater data ingest from public and private sectors
- Linking of Report Fraud systems with other policing systems nationally
- Expansion into other sectors for crime reporting

Call Handling and Report Fraud Website Improvement



**GREATER VICTIM
SATISFACTION**



**AVERAGE CALL
WAITING TIME =
15-30 MINS >>
SUB 5 MINS**



**AVERAGE CALL
ABANDONMENT
RATE = 30-50%
>> LESS 10%**



**AVERAGE CALL
HANDLING
TIME =
24 MINS >>
SUB 20 MINS**



**DISRUPTIONS
WEBSITES; EMAILS;
TELEPHONE
NUMBERS;
ACCOUNTS =
UP TO 28 DAYS >>
72 HOURS**



EXECUTIVE SUMMARY

Cyber Crime, Fraud and Cross-Cutting



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RANSOMWARE

KF1: Data exfiltration had been identified in reports throughout the FY2025-26 Annual Assessment and has now become an increasingly common methodology employed by cybercriminals alongside encryption, with reports often referencing large volumes of data having been exfiltrated or attempted to have been.

KF2: Small medium enterprises (SMEs) were the most reported organisation size in FY2025-26 accounting for 175 (54%) reports. SMEs are likely targeted due to lower budgets and funding for robust cyber security and are likely identified as the most vulnerable link in the supply chain to exploit.



SOCIAL MEDIA HACKING

KF1: Hacking – social media and email (NFIB52C) includes reports where someone has obtained unauthorised access to social media, email, or any other online account. Social media hacking (SMH) reports identified by keyword analysis accounted for 22% (9,846) of all hacking – social media and email (NFIB52C) reporting for FY2025-26.

KF2: Reporting of SMH on popular social media platforms decreased by 60% (from 4,375 to 1,732) and 47% (from 3,210 to 1,709) when compared to the previous assessment period. There is a realistic possibility that improvements in platform security controls, including the wider use of automated account protection measures, contributed to the reduction.



CYBER THREATS TO ORGANISATIONS

KF1: Organisations were impacted the most by cyber crime, hacking social media and email (NFIB52C) representing 55% (1,250) of all reported cyber crimes received by organisations. Attack vectors such as phishing and social engineering were the most common modus operandi, the main variance was how these were applied to each sector.

KF2: The organisation size was supplied in 69% of reports, small medium enterprises (SMEs) accounted for 62% (1,398) of cyber crime reports received to Report Fraud. This is proportionate to the total amount of SME organisations within the UK, whereby SMEs represent 99% of all organisations in the UK from 2010 - 2025.



COURIER FRAUD

KF1: There was a decrease for the reported financial losses in FY2025-26, with victims reporting a total loss of £18.8m, a 14% decrease when compared with the previous year. Approximately 80% of total losses in FY2025-26 are concentrated within a small proportion (20%) of high-loss reports. This pattern is consistent with previous years, and it is highly likely to persist, indicating a sustained concentration of financial harm within a relatively small number of reports.

KF2: The use of taxi services within courier fraud has risen substantially, from 168 reports in FY2024-25 to 298 reports in FY2025-26 representing a 77% increase. The expansion of taxis being utilised as a courier service by fraudsters has likely contributed to the rise.



ROMANCE FRAUD

KF1: Report Fraud reporting for dating scams (NFIB1D – also recognised as romance fraud) increased in both volume and total loss during the reporting period. This increase continues the upward trend of reporting for this fraud type observed since 2022. Reporting volumes increased 26% from 9,449 in FY2024-25 to 11,980 in FY2025-26. Financial losses increased 15% from £106m in FY2024-25 to £122m in FY2025-26.

KF2: Average financial losses per report decreased 9%, from £11,222 in FY2024-25, to £10,108 in FY2025-26. This is likely driven by an increase in financially motivated sexual extortion reports for younger age groups.



INVESTMENT FRAUD

KF1: Cryptocurrency was identified as an enabler in 11,476 (32%) investment fraud reports, presenting an opportunity to identify and understand how cryptocurrency is utilised in investment fraud as both an investment commodity and method of funds transfer.

KF2: Victims aged 30-39 reported the greatest volume of investment fraud for the reporting period. It is likely due to their greater levels of social media activity and therefore greater exposure to fraudulent advertisements on online platforms.

**PAYMENT DIVERSION FRAUD**

KF1: Payment diversion fraud (PDF) related to invoices was identified as representing 22% (813 reports) of all PDF reports; the largest PDF subcategory. This is almost certainly due to the widespread use of invoices as a conventional and trusted means of payment for organisations and individuals.

KF2: The construction sector submitted the greatest number of reports, accounting for 7% of all reporting. Financial losses amongst this sector accounted for £2.2m however, not all organisations recorded their sector within reporting.

**PENSION FRAUD**

KF1: Pension fraud continues to result in high financial losses, with an average loss of £32,111 per victim. Reported financial losses show a consistent year-on-year increase, likely driven by delayed retirement patterns, leading to pension pots accruing greater value over time.

KF2: Fraudsters are continuing to engage in pension account takeover, resulting in pension fraud. It is likely that this is being driven by technology, digital transformation and artificial intelligence.



VIOLENCE AGAINST WOMEN AND GIRLS

KF1: Cyber-enabled offences accounted for 63% of identified Violence Against Women and Girls (VAWG) related crime reports involving coercion, controlling behaviour or manipulation, indicating a strong digital element within these cases.

KF2: Romance fraud and investment fraud were the two most common fraud types identified, accounting for 33% of cases linked to VAWG. This suggests that fraudsters are increasingly adopting hybrid romance investment fraud, combining elements of romance and investment fraud to exploit victims.



ARTIFICIAL INTELLIGENCE

KF1: There has been a 395% increase in reports involving the suspected use of artificial intelligence (AI) by cybercriminals. The total volume of reports referencing AI as an enabler were 956 in FY2025-26 compared to 193 reports in FY2024-25.

KF2: Investment fraud is the most prevalent fraud type that adopts AI's generative capabilities to lure victims. Cybercriminals create convincing fraudulent investment advertisements by impersonating celebrities and other well-known public figures as a way to instill trust and reassurance in fraudulent schemes.



CRYPTOCURRENCY

KF1: Cryptocurrency has been identified as either an enabler or commodity in 32,493 reports across the 53 Home Office Counting Rule (HOCR) cyber crime and fraud codes. This widespread presence reflects the growing adoption and mainstream use of cryptocurrency. Its popularity is driven by several factors, including perceived financial independence from traditional banking systems, transaction anonymity, global accessibility, and the potential for profitability.

KF2: Fraudulent job opportunities involving cryptocurrency feature prominently as a common methodology across reporting. In these reports, victims are instructed to deposit their own funds into cryptocurrency platforms to complete tasks, under the false promise of financial returns or employment, ultimately resulting in financial loss.



CYBER CRIME

Overview and Trends



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REPORTING VOLUMES

VOLUME

64,608

Reports received

↑ +34%

LOSSES

£14.3m

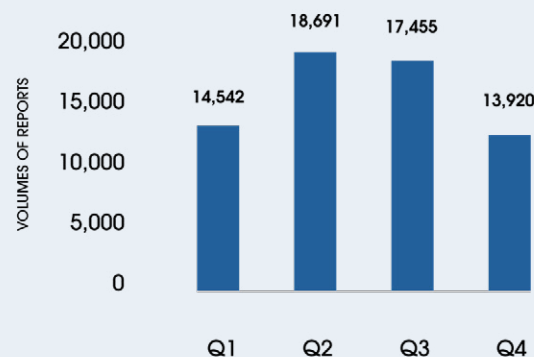
Reported financial losses

↑ +91%

KEY THREATS

- **Data exfiltration** is a **common methodology** employed by cybercriminals **alongside encryption for ransomware**
- Social media hacking (SMH) reports identified by keyword analysis accounted for **22% (9,846) of all hacking - social media and email (NFIB52C) reporting**
- **Hacking - social media and email (NFIB52C)** represented the **majority of cyber crimes** received **by organisations**
- Small medium enterprises (**SMEs**) were the **most likely organisation size to report a cyber crime**
- There has been **a significant increase** in reporting of **artificial intelligence being used** by cybercriminals and fraudsters

Volumes of Report Fraud Reports: FY2025-26



HIGH RISK INDICATORS

- Age group with highest volume of reports - 30-39 years old
- Gender where reported:

GENDER	VOLUME	% OF TOTAL
MALE	16,527	46%
FEMALE	19,609	54%
TRANSGENDER	33	0.1%
NON-BINARY	7	0.02%
OTHER	1	0%

- Age with highest financial reported loss - 30-39 years old

TOP THREE CYBER DEPENDENT HOME OFFICE COUNTING RULE CODES BY VOLUME

- Hacking - social media and email (NFIB52C) - **69%**
- Hacking personal (NFIB52B) - **15%**
- Computer viruses/malware (NFIB50A) - **11%**

TOP THREE CATEGORIES BY REPORTED FINANCIAL LOSSES

- Hacking - social media and email (NFIB52C) - reported financial loss - **£6.8m**
- Computer viruses/malware (NFIB50A) - reported financial loss - **£3.4m**
- Hacking personal (NFIB52B) - reported financial loss - **£2.5m**

There were 64,608 crime reports received by Report Fraud in FY2025-26 in relation to cyber dependent crime. This is a 34% increase of 16,294 reports compared to the previous assessment period. It is highly likely that cyber crime continues to be underreported, and the true scale of offending is significantly higher. The reason for this is highly likely due to gateway offences such as email hacking and other online account hacking not being reported when the primary fraud offence is reported to Report Fraud, likely due to victims not being aware that fraudsters and cybercriminals utilise these methods.

The greatest volume of cyber crime reports were received for hacking social media and email (NFIB52C) which accounted for 69% of all cyber crime reports (44,355), representing an increase of 34% compared to the previous assessment period. This was followed by hacking personal (NFIB52B), with a total of 9,576 reports, representing a 9% increase in comparison to the previous period and accounting for 15% of the overall cyber crime reports. The third highest reported cyber crime was computer virus/malware/spyware (NFIB50A) with 6,837 total reports, representing 11% of the overall reports received for cyber crime.

The reported financial loss to victims increased by 90%, from £7.5m in FY2024-25 to £14.3m in FY2025-26. This equates to an average loss of £220 per victim compared to £155 in the previous reporting period. This large increase indicates that financial losses to victims are increasing. Analysis of organisational victim data for cyber crime identified organisations comprised of 4% of overall cyber crime reports with 2,271 reports.

Organisations reported £2.5m in losses, 14% of the total financial losses for cyber crime. It is highly likely that total financial losses to individual and organisational victims are higher than the amount reported, due to victims not always being fully aware of the extent of the financial loss to them when making the initial report. Additional expenditure could include investment in additional cyber security measures to protect from future threats.

VICTIMOLOGY

Overall victim demographics remain stable; males and females are at near equal risk of becoming a victim of cyber crime, with those aged between 30-39 years submitting the greatest number of reports as well as reporting the greatest financial loss of just over £2m, accounting

for 14% of the reported losses. It is highly likely that victims in this age group are more likely to be targeted by cybercriminals due to having a greater cyber presence compared to older age groups, such as over 60s, as well as having higher incomes compared to younger age groups.

Organisations were victims in 4% (2,271) of all cyber crime reports, with the organisation size most likely to be targeted being small medium enterprises (SMEs); they accounted for 62% (1,398) of organisational cyber crime reports. However, it is almost certain that all organisations are at risk of cyber crime regardless of size.

It is highly likely that the physical victim location is irrelevant when cybercriminals target victims. Cybercriminals target those without strong security on accounts and likely victims whose details have already been compromised and are shared on the dark web. Therefore, cyber crime location data often reflects UK population density. When there are geographical hotspots outside of population density, this is commonly due to there being a physical element to the methodology.

HIGH HARM THREATS

Social media hacking (SMH) and ransomware both remain control strategy priority areas for cyber crime at Report Fraud. Significant progress has been made in these areas throughout the year, with leaders responsible for these areas meeting with both internal and external partners each month ahead of tasking meetings for cyber crime and fraud. This close working has fostered greater collaboration and has resulted in the earlier detection of threats. It has also helped to streamline existing processes designed to respond to ransomware reports. For SMH, the launch of Report Fraud has meant a change in the approach to analytical methodologies. Work is continuing, so that improvements can be made to better tackle offending; this includes measures to encourage greater reporting, and the development of further methodologies to identify when social media hacking might be present as an enabler but is not explicitly described as such amongst reports of fraud.

FUTURE & EMERGING

Artificial intelligence (AI) continues to be monitored as a cross-cutting theme across cyber crime and fraud, with its adoption by cybercriminals almost certainly growing as the barrier for entry to commit of-

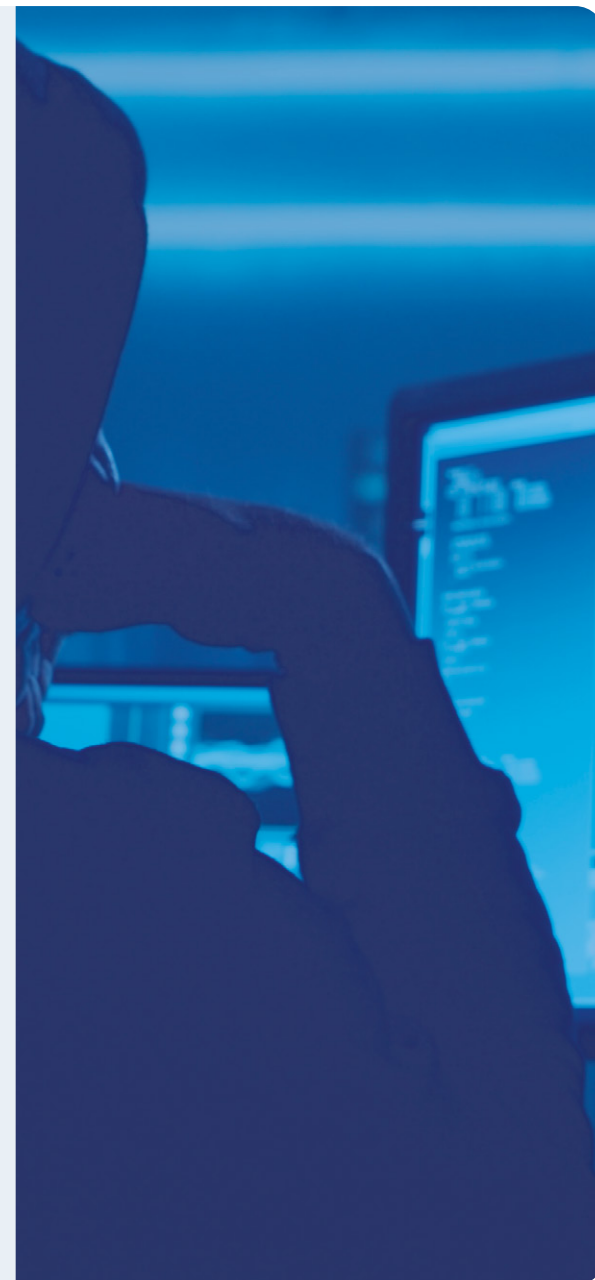
fences reduces, as well as the scale of cyber crime increasing. Analysis suggests there was a 395% increase in the reporting of AI detection to Report Fraud compared to the previous reporting period.

This indicates there is a growing awareness of the extent AI is utilised by cybercriminals and fraudsters to commit offences, as well as a growing knowledge of AI's capabilities. Despite Violence Against Women and Girls (VAWG) being established as a strategic policing requirement in 2023, the true extent of it within cyber crime is still to be fully understood **(1)**.

The cross-cutting VAWG section in this assessment outlines that 954 cyber crime and fraud reports were identified as being related to VAWG with 63% (605) of these being cyber-enabled.



The greatest volume of cyber crime reports received related to hacking - social media and email (NFIB52C)





FRAUD

Overview and Trends



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REPORTING VOLUMES

VOLUME

503,288

Reports received

↑ +50%

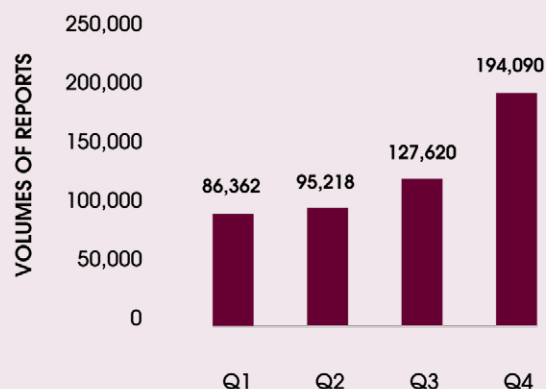
LOSSES

£3.2bn

Reported financial losses

↑ +26%

Volumes of Report Fraud Reports: FY2025-26



HIGH RISK INDICATORS

- Age group with highest volume of reports - 30-39 years old
- Gender where reported:

GENDER	VOLUME	% OF TOTAL
MALE	123,522	54%
FEMALE	106,892	46%
TRANSGENDER	295	0%
NON-BINARY	85	0%
OTHER	9	0%

- Age with highest financial reported loss - 60-69 years old

KEY THREATS

- **Social media activity** continues to **expose victims to fraudulent investment opportunities**.
- The use of **taxi services** within **courier fraud** has **risen** substantially
- **Artificial intelligence** continues to be **difficult to identify** amongst reporting
- **Technological advancements** are aiding fraudsters to **bypass online security** to **divert pension funds** to other bank accounts
- **Hybrid romance investment fraud** features in reporting for **violence against women and girls**
- **Cryptocurrency** continues to be a popular **method of payment** and **investment commodity type**

TOP THREE CYBER DEPENDENT HOME OFFICE COUNTING RULE CODES BY VOLUME

- Cheque, plastic card and online bank accounts (NFIB5A) - **(29%)**
- Online shopping and auctions (NFIB3A) - **(13%)**
- Other advance fee frauds (NFIB1H) - **(11%)**

TOP THREE CATEGORIES BY REPORTED FINANCIAL LOSSES

- Other financial investment (NFIB2E) - reported financial loss - **£581m**
- Corporate employee fraud (NFIB8A) - reported financial loss - **£448m**
- Other consumer non-investment fraud (NFIB3D)- reported financial loss - **£211.1m**

There were 503,288 crime report submissions to Report Fraud throughout FY2025-26 representing an overall increase of 50% (167,081 reports) when compared to the previous reporting period. The increase is attributable to the inclusion of crime reports sourced from Cifas to strengthen the intelligence picture, in addition to reports submitted directly through the Report Fraud contact centre or online reporting tool. Excluding Cifas, there were 356,073 crime reports submitted to Report Fraud, an increase of 19,866 reports (6%) compared to the previous assessment period. This is in line with the most recent Crime Survey for England and Wales (2025) which estimated a 7% increase in fraud.

Excluding the 'other fraud' category, the top three fraud typologies reported were cheque, plastic card and online bank account fraud (NFIB5A), which has increased by 343% (97,511 reports), primarily due to the ingestion of Cifas reports. This was followed by online shopping & auctions fraud (NFIB3A) which has increased by 7% (3,569 reports) and other advance fee fraud (NFIB1H) which has increased by 49% (15,473 reports). The top three reported typologies remain unchanged; however, their ranking

has shifted following the inclusion of Cifas reports. Cheque, plastic card, and online bank account fraud has now moved to the highest position, compared to third place in the previous assessment period. When Cifas data is excluded, the ranking remains consistent with the prior assessment period. The notable increase in other advance fee fraud is attributable solely to a rise in Report Fraud submissions.

There are no financial losses recorded in Cifas reports; therefore, financial loss reporting applies only to Report Fraud. During the current assessment period, overall reported financial losses have increased to £3.2bn, representing a 26% increase compared with the previous assessment period. Financial losses relating to other financial investment fraud (NFIB2E) increased by 26%, with an average loss of £38,756 per victim.

Corporate employee fraud (NFIB8A) increased by 331%, with an average loss of £346,993 per victim; this was largely driven by an increase in September 2025, when multiple reports were submitted by a telecommunications organisation. Meanwhile, other consumer non-investment fraud (NFIB3D) increased by 4%, with an average loss of £8,550 per victim.

VICTIMOLOGY

Overall victim demographics remain stable; males and females are at near equal risk of becoming a victim of fraud, with those aged between 30-39 years submitting the greatest number of reports. However, the greatest financial losses were amongst victims aged 60-69 years, who accounted for 13% of the total reported financial losses.

Young people under 30, including children, remain at risk of becoming victims of fraud. The most prevalent frauds affecting individuals under 30 were: online shopping fraud, other advance fee fraud and cheque, plastic card and online bank account fraud. The most prevalent methodology within other advance fee fraud for young people under 30 were schemes linked to bogus recruitment opportunities, likely driven by the transition from education to employment, where individuals may be actively seeking work.

In line with the previous reporting period, older victims were at greater risk of typologies such as courier fraud, romance fraud, and fraud by abuse of a position of trust; all typologies in which a relationship

or position of privilege and high regard is abused for personal gain. While previous annual assessments referenced victim location, this is only meaningful for fraud types involving in-person contact, such as courier fraud and bogus trader activity. Most high-risk frauds require only digital or telephone access, so victim distribution broadly reflects population density.

HIGH HARM THREATS

Throughout FY2025-26, the high harm fraud threat methodologies which form part of the control strategy remained as payment diversion fraud, courier fraud, romance fraud and investment fraud. Abuse of position of trust fraud will become a new priority area in FY2026-27. Although high-harm areas are prioritised, all fraud reporting is continuously monitored for emerging trends and threats, with ongoing interventions carried out alongside law enforcement, stakeholders, and the public.

FUTURE & EMERGING

Artificial intelligence (AI) remains a growing technological threat to the

fraud landscape. Victims continue to be targeted via social media, with associated encrypted applications further facilitating fraud by moving victims away from the safety features of mainstream platforms. In this reporting period there has been a 370% increase in reports where AI has been actively identified as an enabler to the fraud. This is indicative of AI's use as a tool in cyber crime and fraud and is almost certain to continue. Whilst it is known that the application of AI is an enabler in many fraud typologies, the extent of it is unknown as victims may be unaware of its use.

Whereas traditional AI responds to individual prompts, requires frequent user input, and typically generates answers or content, agentic AI is a more advanced form of AI that can plan, make decisions, and execute actions autonomously to achieve a defined goal. Rather than being instructed on each step, users specify the desired outcome, and the AI determines the actions required to achieve it. The emergence of agentic AI has significant implications for the fraud landscape.

Cryptocurrency remains a cross-cutting theme across the fraud codes and poses a threat as both an investment commodity and as a method of payment.

Cryptocurrency related fraud was identified to have increased by 26% compared to the previous reporting period. The Property (Digital Assets etc) Act 2025 received Royal Assent in December 2025. The Act establishes a legal framework for recognising digital assets like cryptocurrencies and non-fungible tokens (NFTs) as a distinct category of personal property. It seeks to provide legal protection and clearer routes to recover stolen or lost assets. The Act may reduce cryptocurrency-related exploitation by fraudsters, as enhanced protections could better safeguard victims.

“

The most prevalent frauds affecting individuals under 30 were online shopping fraud, other advance fee fraud and cheque, plastic card and online bank accounts.

”



CYBER CRIME: ANALYSIS

Ransomware, Social Media Hacking,
Cyber Threat to Organisations



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Ransomware is a term that covers network intrusions that attempt to, or result in, the encryption or exfiltration of data that is used to extort funds from victims cybercriminals will demand a ransom in exchange for decryption. Recently, attacks have shifted towards also using data exfiltration to extort victims by generating fear of data being publicly leaked and or published to darknet sites.

REPORTING VOLUMES

Ransomware is not currently classified by a Home Office Counting Rule (HOCR) code as a specific cyber offence and therefore a methodology was devised to specifically identify ransomware reports across cyber codes. A total of 323 ransomware reports were received by Report Fraud throughout FY2025-26 representing a 25% decrease compared to the 430 reports received throughout FY2024-25. The reason for the decrease is unknown, but underreporting to Report Fraud is likely a contributing factor, due to multiple channels of reporting for ransomware. However, there were high profile ransomware attacks that were reported nationally in the previous assessment period, which highly likely resulted in organisations recognising a need to improve cyber resilience in response to protect themselves from a ransomware attack.

Details of the ransom amount requested was reported in 3% of reports compared to 5% in the previous reporting period, with cryptocurrency being the most requested payment method. Initial reported financial losses were documented at £270,000, a 50% increase compared to FY2024-25. However, these figures are likely to be significantly higher, as victims often underreport losses due to concerns that ransom payments may be viewed as supporting criminal activity or breaching compliance regulations, as highlighted in the government's September 2025 ransomware consultation response **(1)**. Total losses to ransomware are likely far greater than the initial purported loss amount, when accounting for recovery costs, security improvements, and the potential misuse of stolen data sold on the dark web to facilitate further fraud.

VICTIMOLOGY

Small and medium-sized enterprises (SMEs) were the organisation size which submitted the most reports in FY2025-26 with 175 (54%) reports. This is likely due to lower investment in cyber security and their vulnerability within supply chains, as opposed to being specifically targeted. Across all organisation sizes, the manufacturing sector and other service

activities were the most reported sectors in FY2025-26, with 42 reports each (13%). This was followed by professional, scientific and technical activities (21 reports) and education (19 reports), consistent with FY2024-25 Annual Assessment findings. However, sector information was not provided in 27% of reports.

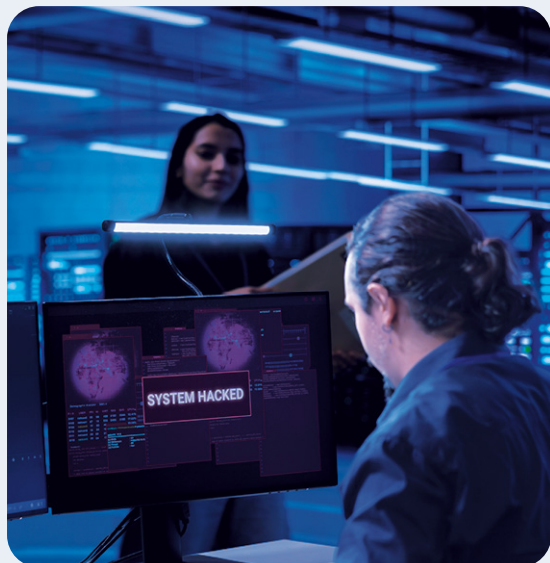
Guidance was published by the Home Office in October 2025 to help organisations build cyber resilience within their supply chains in response to these threats **(2)**. Analysis of the education sector reporting identified phishing and social engineering as an entry point for cybercriminals, consistent with the cyber security breaches survey 2025/2026: education institutions findings **(3)**.



Small medium enterprises (SMEs) were the most targeted organisation size throughout FY2025-26



London was the most affected location for victims of ransomware; this is likely due to the number of organisations operating within London as a business hub, as opposed to cybercriminals operating from a specific location on account of the online nature of ransomware. Due to London's global connectivity, ransomware incidents are likely to have a national economic impact. This is because network downtime during the resolution of encryption can disrupt business operations, and organisations may also suffer reputational damage if they are publicly associated with an organisation that has been involved in a data leak as a result of ransomware.



FUTURE & EMERGING THREAT

Artificial intelligence (AI) is an emerging threat that is likely to present opportunities for cybercriminals to operate at scale and create AI-generated malware and automate AI coding agents to identify vulnerabilities. AI is being deployed across organisations at scale to bolster operational productivity. It is imperative organisations are aware of the cyber security practices and processes required to mitigate these risks, including implementing actionable practices to defend against indirect prompt injection attacks. Guidance on approaches taken by technology companies, including Microsoft, is available online (4).

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Reported financial losses represent only a fraction of ransomware's total impact.

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Volume
323



Reports Received

Volume Change from Previous Year

Decrease of 25%

Loss
£270k



Reported Losses

Volume Change from Previous Year

Increase of 50%

High Risk
Victim Characteristics
Small Medium Enterprises



Account compromise, also known as hacking, is attractive to cybercriminals because it enables a range of criminal activity. Information obtained from compromised accounts, including personal details and identity documents, can be used for further account takeovers, impersonation, and wider fraud.

Account compromise is highly accessible, requiring limited technical expertise and is often conducted remotely. Cybercriminals can maintain anonymity through disposable email addresses, virtual private networks (VPNs), and the dark web, allowing them to target large volumes of online accounts from anywhere with minimal infrastructure and low risk of attribution.

The Home Office Counting Rules (HOCR) code, hacking – social media and email (NFIB52C) includes reports where someone has obtained unauthorised access to social media, email, or another online account. Each instance of a compromised account constitutes a separate offence and therefore should be reported and recorded individually, including any subsequent frauds from the initial compromise. It is common for victims to experience the compromise of multiple accounts across different platforms

as part of the same cyber incident. The term 'unique victim' is used in this section to refer to victims rather than reports, as multiple reports may relate to a single victim.

REPORTING VOLUMES

Hacking-socialmediaandemail(NFIB52C) reporting accounted for 8% of all crime reporting to Report Fraud for both FY2025-26 and the previous assessment period **(1)**. For FY2025-26, Report Fraud received 44,355 hacking – social media and email (NFIB52C) reports, a 34% increase in reporting from the previous assessment period. Unique victims also increased by 27% to 25,991 and is highly likely due to multiple factors, including cybercriminal use of AI enhancing the speed, scale, intricacy and precision of attacks **(2)**.

Furthermore, The UK Online Safety Act 2023 introduced Ofcom-led requirements for companies to reduce the misuse of their services for offending, with illegal harm duties enforceable from March 2025 **(3)**. This has likely increased awareness, detection, and subsequent reporting of account compromise to Report Fraud.

The total reported financial loss during FY2025-26 for hacking – social media and email (NFIB52C) reports was £6.3m,

a 417% increase from FY2024-25. There was also a 929% increase in the number of victims reporting financial loss, from 226 to 2,325. The distribution of reports with losses in hacking – social media and email (NFIB52C) reporting across FY2025-26 was concentrated in the second half of the reporting period, which contained 92% of the reports and 81% of the loss total. This directly coincides with the change to Report Fraud and is therefore likely due to the new Report Fraud service.

Keyword analysis has been conducted within hacking – social media and email (NFIB52C) reporting to identify social media hacking (SMH). In FY2025-26, Report Fraud received 9,846 reports of SMH, an 18% decrease in reporting from the previous period. Reporting of SMH on popular social media platforms decreased by 60% (from 4,375 to 1,732) and 47% (from 3,210 to 1,709) when compared to the previous assessment period. There is a realistic possibility that improvements in platform security controls, including the wider use of automated account protection measures, contributed to the reduction.

VICTIMOLOGY

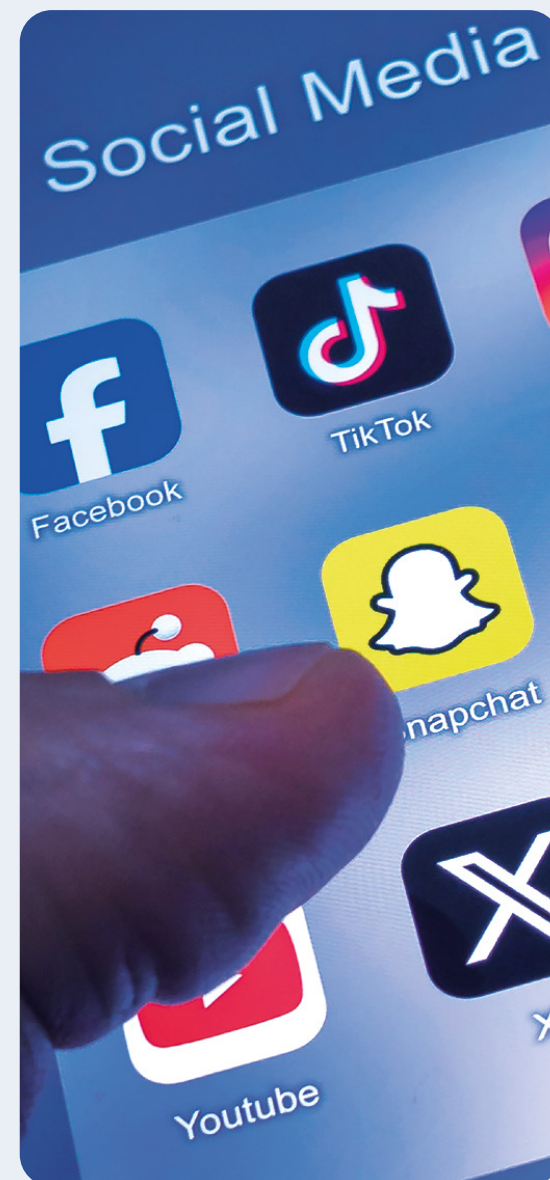
In line with the previous assessment period, individuals comprised 94% of victims and organisations comprised 4% of victims in hacking - social media and email (NFIB52C) reporting. Analysis of gender demographics identified 33% (8,243) as female and 25% (6,118) as male but 42% (10,273) did not disclose gender, limiting the strength of any conclusions regarding gender distribution in reporting. In FY2025-26, 84% of hacking - social media and email (NFIB52C) victims were between 20-69 years of age, broadly aligning with working demographics who are highly likely to have a higher number of online accounts for professional and personal use. Of the remaining victims, 3% were aged 0-19, 9% were aged 70+, and 3% did not disclose their age.

The UK government intends to ban social media for under-16s and restrict access for other online services such as livestreaming for under-18s from spring 2027 **(4)**. This will almost certainly reduce reporting volumes of account compromise by younger demographics on the affected platforms.

METHODOLOGIES

Currently, hacking - social media and email (NFIB52C) reporting does not consistently capture information related to online account compromise pathways, nor the extent of account compromise. Victims may be unaware of the exact method used to compromise an account, especially where the method is not easily identifiable such as malware, or session hijacking. However, victims can report on more visible indicators of compromise, such as receiving account recovery notifications, suspicious login activity, and loss of account access. Victims are also able to report on weaknesses in their own digital security, such as password re-use, weak or absent two-step verification (2SV) or multi-factor authentication (MFA), or failure to use passkeys where possible.

Furthermore, as victims report at varying stages of the account compromise process, they may only be aware of part of the overall compromise and further downstream harms at the time of reporting.



REPORT FRAUD RESPONSE

Prevention Services have provided guidance and training to UK police forces to support requests of repatriation of hacked accounts back to victims. This has increased the number of requests nationally and reduced the number of repatriation requests made to Prevention Services, increasing their capacity for proactive engagement of additional reporters who may require assistance with account repatriation.

The Report Fraud website question set for hacking – social media and email (NFIB52C) now contains, “Was your email account hacked?” as a mandatory triage question before the report stage. From Dec 2025 – March 2026, 38% (5,492) of hacking – social media and email (NFIB52C) reports contained a “Yes” response to this question. It is highly likely that over time this will produce valuable insights regarding likely vectors of compromise – particularly in reports outlining multiple instances of account compromise. Additional questions inserted at the triage stage of reporting are highly likely to improve understanding of compromise pathways, enabling factors, and repeat victimisation risks, whilst enabling more intelligence-led Protect advice linked

directly to victims’ responses. This will likely improve victims’ understanding of how their specific account compromise occurred, increasing the likelihood of victims taking positive actions to prevent ongoing compromise and future account compromise.

FUTURE & EMERGING THREATS

The National Cyber Security Centre (NCSC) has endorsed the use of passkeys over traditional passwords. Passkeys are tied to a trusted device and are not manually entered or shared during sign-in, making them more resistant to guessing, phishing and credential stuffing **(5)**. Wider adoption by service providers and end users is likely to reduce the effectiveness of traditional credential-based attacks.

However, account compromise is not limited to credential theft. Cybercriminals also gain unauthorised access through weaknesses in digital systems or by deceiving users into revealing information or granting access. Furthermore, artificial intelligence is likely to accelerate these threats by increasing the speed, scale and sophistication of cyber attacks **(6)**.



Volume

44,355



Reports Received

Volume Change from Previous Year

Increase of 34%

Loss

£6.3m



Reported Losses

Volume Change from Previous Year

Increase of 417%

Male
25%Female
33%High Risk Age Group
20-69 (84%)

UK organisations are integral to economic growth in the UK, from small businesses servicing communities to large major corporations. Consequently, the loss incurred through cyber crime creates a lasting impact on the UK economy.

REPORTING VOLUMES

Report Fraud received 2,271 cyber crime reports from organisations in FY2025-26. Hacking social media and email (NFIB52C) was the largest threat, representing 55% (1,250) of all reported cyber crimes, followed by computer viruses/malware (NFIB50A) 12% (266), hacking extortion (NFIB52E) 11% (247) and hacking server (NFIB52A) 10% (234).

The total financial loss reported by organisations in FY2025-26 was £2.3m. It is important to note that 97% (71) of cyber crime reports did not feature a financial loss. This is likely because reports with losses may be classified as a cyber enabled fraud offence as opposed to a cyber crime.

VICTIMOLOGY

The organisation size was known in 69% of reports, small medium enterprises (SMEs) accounted for 62% (1,398) of cyber crime report victims. This is proportionate to the total amount of SME organisations within the UK as reported in the business population estimates for the UK and regions,

whereby SMEs represent 99% of all organisations in the UK **(1)**. The smallest organisations amongst SMEs (0-49 employees) were the most frequent reporters, accounting for 45% (1,011) of all reports. It is likely that SMEs are perceived by cybercriminals as lacking the cyber resilience compared to larger organisations, which allows for vulnerabilities to be exploited. In addition, SMEs often operate as third party providers within the supply chain of larger organisations and are most likely targeted as an entry point and likely to hold large volumes of sensitive data, which provides lucrative opportunities for cybercriminals.

It is recommended that SMEs utilise the government supported Cyber Essentials scheme to protect themselves from cyber threats alongside becoming members of Police Cyber Alarm (PCA), a threat detection tool to identify malicious cyber activity against a member network **(2, 3)**.

In addition, Cyber PATH, (a police-led, business-focused programme that develops the next generation of cyber security specialists by providing students with paid, real-world experience supporting small and medium-sized enterprises in cyber resilience), continues to provide services for SMEs and third

sector organisations to raise awareness of cyber threats and ensure cyber resilience across the UK and are therefore recommended for SMEs to reinforce their cyber resilience **(4)**.

The organisation sector was known in 72% (1,637) of reports. The most reported sectors were other service activities 15% (343), followed by construction 6% (134), education 6% (130) and accommodation and food service activities 5% (109). However, reports were received across all sizes and sectors, and therefore all organisations, irrespective of size and sector, are almost certainly at risk to cyber crime.

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Phishing and social engineering were the most commonly reported attack vectors.

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CYBER THREATS TO ORGANISATIONS

METHODOLOGIES

Phishing and social engineering were the most commonly reported attack vectors.

It is recommended that organisations ensure the use of passkeys throughout their organisation and supply chain where possible due to being a more secure alternative to passwords that is also resistant to phishing, as recommended by the National Cyber Security Centre (NCSC) **(5)**. Despite improved cyber resilience investment from organisations, human error is highly likely to remain a key vulnerability exploited by cybercriminals, likely through socially engineering victims into unknowingly revealing sensitive credential information to cybercriminals **(6)**.

REPORT FRAUD RESPONSE

Report Fraud Protect Services delivered engagements throughout this year to protect and educate organisations on cyber crime. These engagements included delivering an in-person presentation on the most prevalent threats to the financial sector and presenting the new Report Fraud service, outlining how Report Fraud alerts are helping to deliver effective protect messaging and drive meaningful behavioural change. Report Fraud continues to work with key partners

such as the NCSC on protect advice and partner agencies to signpost to resources such as Cyber Essentials, PCA and Cyber PATH to protect organisations.

FUTURE & EMERGING THREAT

Advancement in artificial intelligence (AI) continues to be an emerging threat, enabling cybercriminals to operate at a larger scale by automating phishing emails. In addition, AI has advanced, and the accessibility of tools to create AI images, voice and videos that appear genuine further exploits human error through social engineering via impersonation. Continued engagement between law enforcement agencies and organisations will remain pivotal in preparing and protecting organisations from cyber crime.



Volume
2,271

Reports Received

Loss
£2.3m

Reported Losses



High Risk
Victim Characteristics

Small Medium Enterprises (62%)
0-49 employees (45%)





FRAUD: ANALYSIS

Courier Fraud, Romance Fraud, Investment Fraud,
Payment Diversion Fraud, Pension Fraud



OFFICIAL - FOR PUBLIC RELEASE

Courier fraud involves fraudsters impersonating officials by phone to persuade victims to assist a fictitious investigation. Victims are instructed to withdraw cash, hand over commodities (gold, bank cards, jewellery), or purchase items, which are collected by a courier. This fraud type remains a high-harm threat due to the targeting of vulnerable and often older victims, the potential for substantial financial losses, and the in-person contact between offender and victim.

There was a large increase in reporting volumes between FY2023-24 and FY2024-25, however, there is a comparatively smaller increase between FY2024-25 and FY2025-26, with an increase from 1,797 to 1,846 (3%). Interestingly, the overall reported loss for courier fraud saw a decrease of 14% from £21.9m, to £18.8m. The increase in reporting and decreases in total loss have resulted

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Individuals aged 60 and over account for 76% of courier fraud victims.

”

in an overall decrease in average loss per victim from £12,188 to £10,186.

Analysis of financial losses across the previous financial years reveals a pronounced concentration pattern consistent with the 80/20 rule, whereby a small number of high loss reports account for a substantial majority of total losses **(1)**. Of the total financial losses, approximately 80% are concentrated within a small proportion of high loss reports (20%). It's highly likely that overall loss exposure is not driven by a broad distribution of activity but by a limited number of high-impact reports where losses are significantly higher. The approximate £3m reduction seen in FY2025-26 is visible within the top 20% highest loss reports, indicating that changes within this highest loss category were the main driver of the overall reduction in losses.

METHODOLOGIES AND ENABLERS

Analysis of the top 20% highest loss courier fraud reports indicates a shift in offending behaviour compared to lower-value incidents, with a strong prevalence of gold and jewellery purchases alongside evidence of repeat victimisation. It's likely that fraudsters responsible for the most financially harmful offences



**Volume
1,846**



Reports Received

Volume Change from Previous Year
Increase of 3%

Loss

£18.8m



Reported Losses

Volume Change from Previous Year
Decrease of 14%



**Male
32%**



**Female
40%**

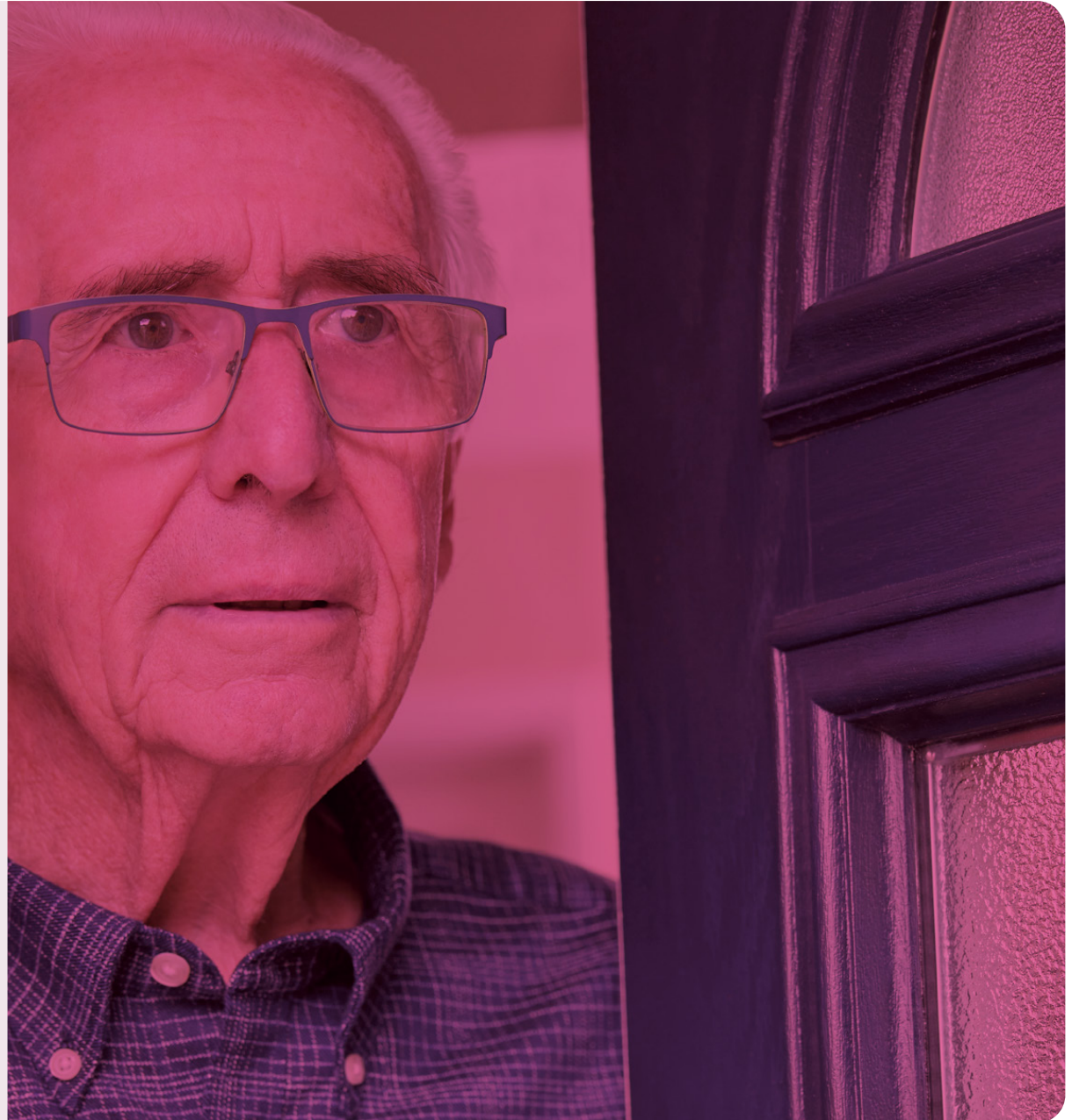
High Risk Age Group
60+ (76%)

employ more sophisticated and sustained engagement tactics, enabling them to extract greater value from victims. Additionally, the emphasis on high-value commodities such as gold and jewellery, rather than solely bank card collection, indicates a deliberate strategy to maximise returns.

Gold and jewellery purchases account for the highest losses—averaging just over £50,000 per victim. However, courier fraud involving the collection of bank cards remains the most prevalent method. Of the 1,846 reports analysed, approximately 1,300 involve the physical collection of cards. These incidents can be divided into two categories: 55% involved the collection of cards only, while 45% involved cards being collected alongside cash and other valuables.

EMERGING TRENDS

The FY2024-25 Annual Assessment highlighted that taxi services are commonly utilised by fraudsters, in most cases to facilitate the movement of victims to banks, currency exchanges, or jewellery and gold retailers as part of the fraud. Analysis identified the use of taxis as a growing enabler within courier fraud, with a 77% increase confirmed reports referencing taxi services.



VICTIMOLOGY

For FY2025-26, females comprised of 40% of victims (746 reports) and males were 32% (507 reports). However, in 28% of reports victim gender information was not supplied. Where gender is recorded, females appear disproportionately represented; however, the high proportion of missing gender data constitutes a key intelligence gap, limiting the ability to draw firm conclusions.

In line with previous years' reporting, the majority of self-identified victims were white British with individuals aged 60 and over accounting for 76% of courier fraud victims. It is highly likely that older people are more likely to be victims of courier fraud as they present a combination of increased trust in institutions - namely banks and the police, increased access to savings, and further vulnerability to the fear and pressure tactics employed by courier fraud. Victims of courier fraud are primarily targeted through direct phone contact, most commonly via landlines, which are more frequently used by older individuals **(2)**.

Approximately 63% of victims are in London and the surrounding regions, confirming London as the main hotspot for courier fraud. It is likely that cities appeal to fraudsters

due to the high population density and the widespread availability of jewellery and gold retailers, bank branches and currency exchanges. London's strong transport links to nearby regions—particularly the South East and East of England enable quick travel to and from London, allowing fraudsters to extend activity beyond the capital.

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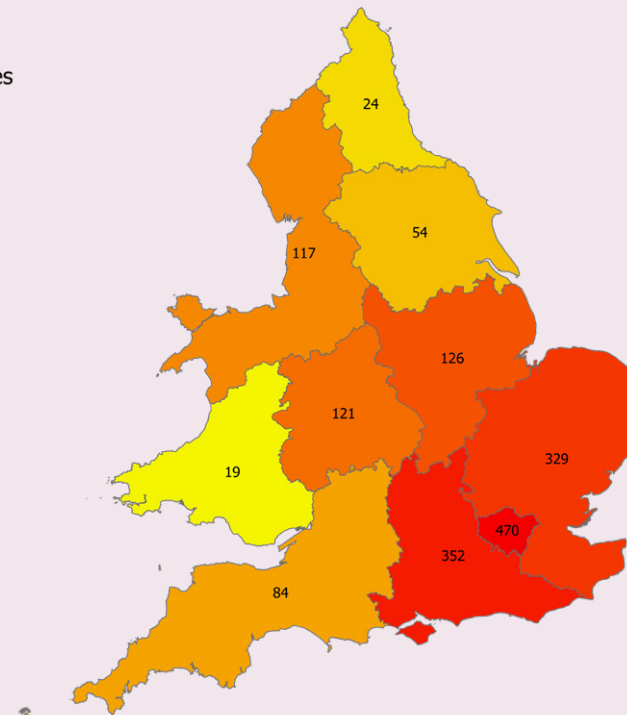
**...individuals aged 60 and over
accounting for 76% of courier
fraud victims**

”

Fig 1: Regional distribution of courier fraud reports in England & Wales FY2025-26

Key

Volume of crimes
by ROCU region



Romance fraud involves people being deceived into sending money to criminals who gain their trust and convince them they are in a genuine relationship. They use language to manipulate, persuade and exploit so requests for money appear genuine. These requests are highly emotive, such as criminals claiming they need emergency medical care, or to pay for transport costs to visit the victim from overseas.

Romance fraud reporting continued its year-on-year increase during the assessment period, growing in both report volume and victim losses. Romance fraud remains a complex and emotive fraud type, with growing public awareness and scrutiny as to how it is addressed by law enforcement. Reports of romance fraud are recorded under the Home Office Counting Rules (HOCR) code dating scam (NFIB1D). Within this category, a proportion of reports relate to financially motivated sexual extortion (FMSE). Although FMSE shares certain methodological characteristics with romance fraud, the principal offence is typically blackmail which is not an offence recorded under the Home Office Counting Rules for cyber crime and fraud. Previous analysis conducted by the Intelligence

Development Team indicated that FMSE accounts for approximately 20–25% of reports recorded under the NFIB1D classification. As a result, caution should be exercised when interpreting NFIB1D volumes, as the inclusion of FMSE reports may inflate the apparent level of romance fraud and obscure underlying trends within the dating scam category. Better public education through Protect messaging as to what constitutes romance fraud, opposed to FMSE, may help limit future FMSE submissions.

There was a 26% increase in reports for the HOCR code encompassing romance fraud, - dating scam (NFIB1D) - from 9,449 the previous assessment period to 11,980 in FY2025-26. Total losses increased 15% from £106m in FY2024-25 to £121.1m in FY2025-26. Average losses per report decreased 9% from £11,222 in FY2024-25 to £10,108 in FY2025-26.

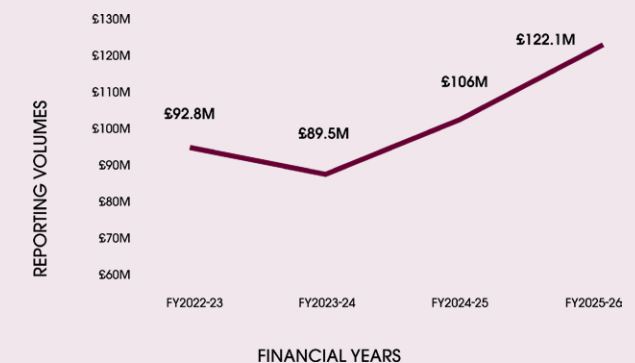
Excluding FMSE reports, the total volume of romance fraud reports was 11,810 for the assessment period, a 1% (160) decrease to that quoted previously (11,980). Total losses were £120.6m, a 0.3% (£472,117) decrease and average losses £10,214, a 1% increase (£10,108). Reporting volumes and total losses have been on an upward trend since FY2022-23 (1). This indicates romance fraud

continues to grow and it will likely require the combined resources of policing and commercial partners to counter.

Fig 2 - Reporting volumes for dating scam (NFIB1D) FY2022-26



Fig 3 - Total losses in millions for dating scam (NFIB1D) FY2022-26



“ **Total losses increased 14% from £106m in FY2024-25 to £121.1m in FY2025-26** ”

Several factors were likely responsible for the increases in reporting volume and total losses. Public awareness of romance fraud grew, due to law enforcement agency activity, awareness campaigns and increased media interest. Improved victim awareness means they are increasingly able to identify romance fraud methodology and report cases. The decrease in average loss per report was likely due to an increase in FMSE reports in 2025 among younger victims **(2)**. Loss amounts were smaller for FMSE reports, typically under £500, than conventional romance fraud.

VICTIMOLOGY

Males comprised 45% of victims (5,429 reports), females 31% (3,744), transgender 0.1% (16) and unknown 22% (2,627). The previous assessment period comprised female victims at 37%, and unknown at 17%. The introduction of the new Report Fraud service may be a contributing factor to observed changes in the recording of victim demographic information. There was no change for males and transgender victims from the previous

assessment period for all dating scam reports including FMSE. It is likely there is a roughly even split between male and female victims without FMSE reports. It is likely the FMSE threat is growing, with partner agencies indicating child victims of FMSE increased over the last year **(3)**.

The largest self-identified group by ethnicity were white (18%). For most reports however, no victim ethnicity was recorded (66%). Although romance fraud is predominately an online crime, victims were typically concentrated in large population areas, with London and the South East accounting for most reports (23%). It is likely that fraudsters target these regions due to the perception that victims residing in high socio-economic areas have greater financial resources **(4)**. The largest victim age group was 20-29 with 2,029 reports (16%). This was a change from the previous assessment where the main groups were 50-59 (16%), and 60-69 (16%) **(5)**.

It is highly likely FMSE reports inflated the reporting volumes for the 20-29 age group due to greater targeting. The next largest groups were 60-69 with 1,906 reports (15%) and 50-59 with 1,716 reports (14%). This is in line with previous reporting, whereby they were the two largest reporting age groups.

LOSSES

The 20-29 age group had the highest report volumes however, they had comparatively low losses of £4.6m (3%), consistent with loss values being driven by FMSE offences. The 60-69 age group recorded the highest losses at £33.6m (27%), followed by the 50-59 age group at £22.3m (18%) and the 70-79 age group at £21.9m (18%). This pattern is consistent with previous assessment periods. It remains highly likely that factors such as accumulated wealth, widowhood, loneliness and divorce, make older age groups more attractive targets for romance fraudsters than younger cohorts.

Total losses among males (£45m; 37%) were marginally lower than among females (£46.6m; 38%), in line with previous reporting. Whilst female losses decreased from £51.7m (48%) in the previous reporting period. There is a realistic possibility that increased awareness of romance fraud has resulted in earlier victim recognition and reporting. Reports from transgender victims accounted for 0.1% of total losses.

METHODOLOGIES & ENABLERS

There was no significant change in the primary modus operandi

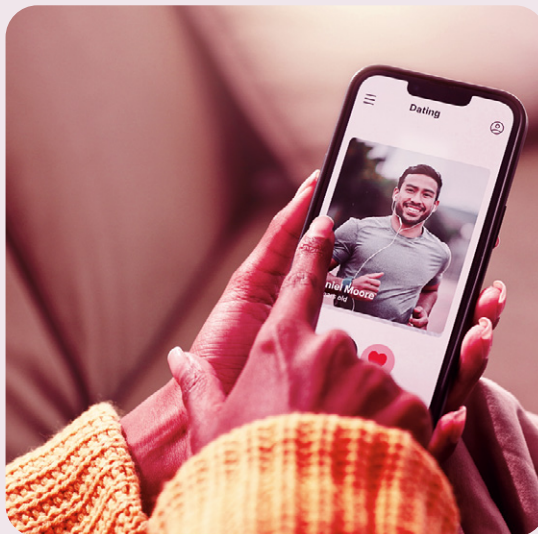
(MO) used by romance fraudsters. Social media and dating platforms remained the primary initial contact method. Digital wallet payments, bank transfers and gift cards remained the most frequently used payment methods by victims.

ARTIFICIAL INTELLIGENCE GENERATED TECHNOLOGY & DEEPPAKES

Alongside the increase in FMSE reports, was the emergence of artificial intelligence (AI) usage **(6)**. Whilst AI use was not a widespread MO, its increasing use indicates it is a developing threat, offering fraudsters a broader scale of targeting and greater level of sophistication. Reports where AI was mentioned, were between 5-8 reports per month from late 2025, making up 0.5 - 0.8% of reports. Reporting has since grown to 15-20 reports per month, or 1.5 - 2.0% of reports. This is likely to increase as the public become more aware of AI indicators, ease of use and availability of AI tools becomes more widespread. AI is likely used to create synthetic profiles on dating platforms and social media. Romance fraudsters enhance relationship building using multilingual chat assistance, automated relationship management and fraud scripts optimisation. Additionally, deepfakes are used to build trust and maintain deception.

HYBRID ROMANCE INVESTMENT FRAUD

Hybrid romance investment fraud has received significant media and law enforcement attention over the reporting period. This MO has grown steadily in reporting volume and losses since 2019. Losses per report increased from approximately £35,000 in April 2019 to £50,000 by September 2024, with reports per month increasing over the same period. During FY2025-26, there were 423 hybrid romance investment fraud reports identified, accounting for 3% of total dating scam (NFIB1D) reports, compared to 5% in the previous assessment period.



Volume

11,980



Reports Received

Volume Change from Previous Year

Increase of 26%

Loss

£121.1m



Reported Losses

Volume Change from Previous Year

Increase of 15%



Male
45%



Female
31%

High Risk Age Group
20-29 By Volume (16%)

Other High Risk Factors:
Financially Motivated
Sexual Extortion



Investment fraud reporting figures were compiled from six Home Office Counting Rule fraud codes, ensuring data includes the full range of investment fraud activity across England, Wales, & Northern Ireland. Investment fraud is a wide-ranging multi-layered crime typology; however, it typically involves victims investing into schemes or commodities that are worthless or do not exist.

REPORTING VOLUMES

Across the investment fraud reporting codes there were a total of 36,464 reports representing a 37% increase compared to the previous reporting period. There is no distinguishable seasonality within the reporting period. The increase is highly likely driven by advancements in technology available to fraudsters, enabling them to target victims at scale. In particular, the rise of artificial intelligence (AI) has made fraudulent interactions appear more convincing, leading victims to believe they are engaging with legitimate sources (1).

Additionally, there is a realistic possibility that greater public awareness about reporting channels and the launch of Report Fraud contributed to the rise in reporting volumes, as well as the submission of additional reports which likely have been incorrectly classified as belonging within fraud.

The total financial losses recorded were

£911m representing an increase of 20% compared to the previous reporting period. However, the average financial loss was £28,188 representing a 13% decrease per victim compared to the previous reporting period. Whilst reporting volumes and total losses have increased, the average loss per victim has decreased, indicating a shift towards higher volumes of incidents involving lower individual losses.

The most frequently reported fraud code was other financial investment (NFIB2E) accounting for 51% of reports; this fraud code includes reports that cannot be accurately assigned to other specific fraud codes and are therefore retained within this miscellaneous classification. This was followed by recovery fraud (NFIB1E), which accounted for 25% of reports, and pyramid and ponzi schemes (NFIB2B), which represented 13%. Share sales or boiler room (NFIB2A) accounted for 10% of reports, while timeshares and holiday club fraud (NFIB2D) and prime bank guarantees fraud (NFIB2C) were comparatively rare, accounting for just 0.3% and 0.2% of reports, respectively.

There are often delays reporting investment fraud due to the inherent nature of its methodology and long lifespan. Victims of investment fraud are often told to wait several months or years for returns; therefore, victims may be unaware they have been involved in an investment

fraud until that timeframe has passed, at which stage the fraudster is unreachable. Therefore, reporting volumes often

CASE STUDY HIGH VALUE FRAUDULENT WINE INVESTMENT

Throughout the reporting period, 401 reports were identified as being related to a fraudulent fine wine investment company which promised high value investment returns. In these reports, victims were either directly contacted by the fraudsters or initiated contact themselves after encountering social media advertisements.

Victims were typically introduced to a broker who claimed that the purchased wine would be securely stored, with the option to sell it later for a profit or have it delivered to their home address. However, after funds were transferred, victims were often unable to re-establish contact with the broker, informed that the wine was missing or inaccessible, or told that the investment firm had ceased trading. Victims also stated that they received notice from law enforcement agencies who confirmed that they were aware of the fraud and were investigating. The total losses associated with this fraudulent investment opportunity were notably high, amounting to £23m, with an average loss per victim of £62,093.

reflect when the victim has found out they have been defrauded, and not when the initial investment fraud happened.

VICTIMOLOGY

Male victims represented 49% of investment fraud reporting while female victims accounted for 27%, (24% unidentified) indicating a notable gender disparity in reporting. The underlying reason for this disparity is likely due to several different factors, including that males may be more likely to participate in higher-risk investment activities or emerging financial opportunities.

Victims aged 30-39 were most likely to report investment fraud, representing 19% of reporting, followed by those aged 40-49 (15%) and 60-69 (14%). The greater proportion of victims aged 30-39 is likely linked to increased exposure of online and social-media enabled investment fraud opportunities. It has become the norm for fraudulent investment opportunities to be promoted via social media and direct messaging platforms, targeting the younger generation, who are among the most active online users of social media **(2)**.

Older victims are often targeted in high-value investment frauds because they typically have greater capital available through pensions and savings. Victims aged between 40-49 were more likely to invest larger sums and accounted for the great-

est financial loss overall, with an average of £53,591 per victim. Conversely, younger victims aged 20-29 were significantly more likely to engage with high-risk or emerging investment fraud schemes, with an average financial loss of £9,532 per victim.

Victims located within the Metropolitan Police force area accounted for 5,555 (15% of investment fraud reports), making it the most affected region, which is highly likely due to the large population of London and the Metropolitan Police Service's geographical boundaries. This was followed by the West Midlands Police (4%) and Thames Valley Police (3%). These proportions remain consistent with those observed in the previous reporting period. It is difficult to quantify the full extent of the contact methods used by fraudsters to target victims, whether it be through email, social media, advertisements or direct messaging due to the lack of information supplied within submitted reports.

CRYPTOCURRENCY

Amongst investment fraud reporting, 31% of reports were identified as relating to cryptocurrency investments, representing an increase of 2% compared to the previous reporting period. This is highly likely due to its market dominance, ease of availability and widespread recognition amongst the wider public. Losses associated to cryptocurrency related investment fraud totalled £219.7m, representing 19% of

all reported investment fraud losses.

However, due to the highly volatile nature of the cryptocurrency market, this figure could fluctuate. The volume of cryptocurrency-related investment fraud may decline in future reporting periods due to evolving regulatory developments, such as the introduction of the Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026. This will bring UK cryptocurrency businesses and exchanges into formal regulation, improving accountability and providing better consumer protection. However, due to the decentralised nature of cryptocurrency and the evolving landscape of fraud, fraudsters may adapt by using unregulated, overseas platforms or potentially adopt new technologies or methodologies **(3,4)**.



ARTIFICIAL INTELLIGENCE

During the reporting period, 1,240 (3%) reports were identified as potentially being enabled by artificial intelligence (AI). However, the overall scale of the threat posed by AI remains difficult to quantify, as victims may not always recognise when such technologies have been utilised as part of the fraud methodology.

AI is increasingly shaping the scale, sophistication and delivery of investment fraud, enabling fraudsters to operate at greater volume and with increased realism.

Current AI related investment fraud reporting figures are relatively low, which is likely due to a lack of victim knowledge around AI, however, AI related investment reporting is also likely to rise in the future, with AI driven methods contributing to more convincing methodologies and higher victim engagement.

Uses of AI by fraudsters may include deepfake technology, which can be utilised by fraudsters to target potential victims. An example of how deepfake technology is reflected in investment reporting is the use of AI-generated videos featuring specific celebrities circulated via social media platforms. These videos often encourage victims to invest in

a fraudulent company, promising fast and substantial financial returns. The company promoted is often a cryptocurrency platform, where victims either make direct purchases within the platform or provide personal details.

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Whilst reporting volumes and total losses have increased, the average loss per victim has decreased, indicating a shift towards higher volumes of incidents involving lower individual losses.

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Volume

36,464



Reports Received

Volume Change from Previous Year

Increase of 37%

Loss

£911m



Reported Losses

Volume Change from Previous Year

Increase of 20%Male
49%Female
27%

High Risk Age Group

Age 30-39 (18%) Ages 40-49 By
Reported Loss (Average £42,182 Per Victim)

PAYMENT DIVERSION FRAUD

Mandate fraud (NFIB5D) often referred to as payment diversion fraud (PDF) is the act of an offender manipulating a victim by gaining their trust to then change the course of a payment to an account managed by the fraudster. This is also known as business email compromise (BEC), however due to the breadth of different methodologies identified within this fraud type, PDF is the term used by Report Fraud for these offences. As the crime is cyber-enabled, it can be executed both nationally and internationally making the threat extensive. This fraud type commonly, but not exclusively, targets businesses or employed individuals as the financial yield is higher, making a single attack more profitable. As a result, the losses from this fraud typology are often hugely damaging both financially and reputationally for the victim.

METHODOLOGIES

Over the course of FY2025-26, Report Fraud received 3,657 reports for mandate fraud (PDF) (NFIB5D). This is a 3% increase compared to FY2024-25. The losses presented during this assessment period totalled £101m, a decrease of 24% compared to the previous year's reporting. It is a realistic possibility that the analytical products

published by Report Fraud over FY2025-26, has raised awareness of this fraud type ensuring more attempts are being identified prior to payment. However, the true reason remains unknown.

The largest threat continued to be invoice fraud totalling 813 (22%) reports identified within mandate fraud (NFIB5D). This is where a suspect sends an amended invoice or purports to be the expected payee, requesting the payment be transferred to an account controlled by the offender. This remained the largest methodology attributed to PDF, considering invoices are used in both organisational and individual settings.

The PDF typology online ordering platform services (OOPS), where a suspect deceives a victim into changing account details linked to services, namely reservations for hotels, restaurants, and ordering, is expanding to include other services. This PDF subtype accounted for 59 reports (1.5%) which remains a low reporting methodology type; however, other sectors have seen an expansion.

A common methodology in PDF by suspects is the request of low value sums from the victim to increase perceived security. It is recommended that these types of payments are more closely

monitored by financial institutions, so best practices can be shared, with additional fraud prevention measures implemented.

Collaborative working alongside financial institutions should be maintained, seeking to develop how examples of PDF are dealt with within these institutions. This collaboration will provide knowledge of managing the threat and provide learning from experience of new trends. Report Fraud also identified an emerging trend of payment diversion, where the source of funds was a victim's pension. Fraudsters gain access via the pension provider which has been termed pension account takeover. This methodology continues to be monitored. This highlights how the threat is developing out of common mandate transfers and utilising alternative financial funds.

VICTIMS

Payment diversion fraud can impact any individual or business seeking to transfer funds. This fraud uses social engineering to change the course of expected funds most often completed through emails via the creation of a similar email, or hacking email accounts and purporting to be the

PAYMENT DIVERSION FRAUD

email account holder. Analysis identified 63% of reports during the reporting period were submitted by individual victims. From an age demographic perspective, the highest reporting age group was 30-39 which equates to 23% of the total reports submitted by individuals, mirroring the total UK workforce demographic **(1)**.

Organisations accounted for 35% of the victim dataset, with the construction sector reporting the highest volume of PDF with 84 reports (7%), with a total loss of £2.2m reported which is equivalent to 2% of the total PDF losses. The high victimisation found in this sector is highly likely due to the business sizes, as 99% of businesses in this sector are classified as micro (1-10 staff) or small (10-50 staff) **(2)**. The losses presented in construction accounted for £2.2m (2%), of the total lost within PDF. It is likely that fraudsters target these organisation sizes due to an assumption that there will be lower levels of cyber security and a perceived lack of computer usage, as well as the expected earnings and the anticipated high value of invoices presented.

As this crime is committed digitally, it transcends borders and therefore there is no hotspot locality where this crime is prevalent. It is commonly reported

in more densely populated areas; however, the areas themselves are not contributing factors to offences.

REPORT FRAUD RESPONSE

Over the course of the reporting period, Report Fraud has worked with the National Crime Agency (NCA) across several PDF communication campaigns targeting PDF methodologies affecting conveyancing. This collaboration is imperative to identify and mitigate current trends within the threat area, highlighting new ways of working, and expanding each other's learning through experience.

The Protect team have provided advice at events throughout the financial year, highlighting the dangers of PDF. Further communication is advised to financial institutions to remain vigilant to the threat, including third-party businesses who hold funds in escrow services.

FUTURE & EMERGING THREATS

Due to the rapid development of artificial intelligence (AI) and the ever-expanding ways it can be used by fraudsters, it is an effective tool for the facilitation of this fraud type, it is highly likely there will be an increased adoption of this technology in the future.



Volume

3,657



Reports Received

Volume Change from Previous Year

Increase of 3%

Loss

£101m



Reported Losses

Volume Change from Previous Year

Decrease of 24%

High Risk Age Group

30-39 (23%)

Any Other High Risk
Victim Characteristics

Construction Sector



Pension fraud manifests in various forms, from liberation fraud to identity theft and cyber-attacks. Historically, liberation frauds were the most prominent, where fraudsters convinced pension members to transfer their savings into fraudulent schemes, resulting in substantial financial losses. Although these traditional methods of pension fraud remain, fraudsters are now also making use of technological advances, including artificial intelligence (AI) and deepfakes to commit pension fraud in the form of identity theft and account takeover of a member's pension account.

Pension related fraud is becoming increasingly sophisticated and poses a significant threat to the security of people's pensions and their retirement plans **(1)**. It is continually evolving, posing new challenges for regulators and law enforcement to combat. As pensions frequently represent the most significant financial asset an individual owns, they present a particularly appealing target for fraudsters.

REPORTING VOLUMES

There were 555 pension fraud reports recorded under the three Home Office Counting Rule (HOCR) codes: pension fraud committed by pensioners or

their estate (NFIB16A), pension fraud committed on pensioners (NFIB16B) and pension liberation fraud (NFIB16C). This represents a 45% increase compared to the previous Annual Assessment FY2024-25, likely attributable to strengthened partnership working with the pensions industry, supported by the embedding of The Pensions Regulator secondees within Report Fraud. Reports submitted via Report Fraud increased by 40% in Q1 FY2025-26 compared to Q1 FY2024-25. The average financial loss which could be attributed to pension fraud victims throughout FY2025-26 stood at £32,112.

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Fraudsters are now also making use of technological advances, including artificial intelligence (AI) and deepfakes to commit pension fraud in the form of identity theft and account takeover of a member's pension account.

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VICTIMOLOGY

The average age of victims was between the age of 57 and 58. It is highly likely that these ages are most at risk because pension freedoms regulations allow individuals aged 55 and over with a defined contribution pension to access their pension savings, with the option of lump sums, drawdown, or annuities. The victim gender breakdown was 41% for males and 38% for females, with the remainder unknown.

METHODOLOGIES

Across pension fraud reporting there are many cross-cutting themes, including abuse of position of trust, investment fraud, identity theft and recovery fraud. Reports concerning pension account takeovers account for approximately 10% of overall pension reporting. This type of fraud occurs when criminals gain access to pension members' credentials and successfully bypass security measures to infiltrate accounts.

The abuse of a position of trust is another typology identified amongst pension fraud reporting. This is commonly observed where individuals are exploited by

relatives or friends who take control of their financial affairs, including pension assets, and redirect payments for their own benefit.

In response to increasing trends surrounding identity theft and account takeover, two industry alerts were issued in collaboration with The Pensions Regulator (TPR) and Report Fraud to highlight and address the growing risk across the pensions industry. This was the first time a joint industry alert has been issued in respect of pension fraud between Report Fraud and the regulator.



Across pension fraud reporting there are many cross-cutting themes, including abuse of position of trust, investment fraud, identity theft and recovery fraud.



**Volume
555**



Reports Received

Volume Change from Previous Year

Increase of 45%

**Loss
£7.8m**

Reported Losses



**Male
41%**



**Female
38%**

High Risk Age Group
57-58 Years Old



CROSS-CUTTING: ANALYSIS

Violence Against Women and Girls, Artificial Intelligence,
Cryptocurrency



OFFICIAL - FOR PUBLIC RELEASE

In December 2025, the government published 'Freedom From Violence and Abuse': a cross-government strategy which aims to build a safer society for women and girls. This new and updated strategy sets out the government's plans to halve Violence Against Women and Girls (VAWG) in a decade (1). VAWG is recognised as a serious and systemic national issue, encompassing crimes such as domestic abuse, coercive control, exploitation, and technology facilitated abuse.

In April 2025, the National Centre for VAWG and Public Protection (NCVPP) was launched. The NCVPP brings together several specialist teams working across VAWG and public protection threats and will work to improve how policing responds to these harmful crimes. Technology enabled VAWG such as online stalking, coercive behaviour and harassment are some of the many offences identified in the VAWG Strategic Threat and Risk Assessment (STRA) that present the greatest threat towards women and girls (2).

The NCVPP data guidance report for 2026 has not yet been published. However, it is anticipated that a joint VAWG, cyber crime and fraud product involving Report Fraud and the National Police Chiefs' Council (NPCC) will be developed.

The NPCC definition of VAWG refers to the harm caused to victims

and society by violence against women and girls in all its forms – including but not limited to harassment, stalking, rape, sexual assault, murder, honour-based abuse and coercive control. However, VAWG is increasingly occurring in digital spaces, as modern technology transforms how harm is perpetrated, amplified, and experienced. This includes the growing overlap between VAWG and fraud, particularly in forms such as financial abuse, romance fraud, and financially motivated sexual extortion (FMSE).

REPORTING VOLUMES

Keyword analysis of Report Fraud data identified 954 reports linked to VAWG-related offences, of which 605 (63%) involved cyber-enabled activity. The analysis focused on reports involving female victims experiencing coercive, controlling, or abusive behaviour by male persons to align with established VAWG frameworks. This approach ensured the dataset reflected gendered patterns of harm, where abuse is often characterised by power imbalance, coercion, and control. These behaviours are associated with stalking and harassment which accounts for 85% of all online and technology enabled offences with recent figures showing that over one year, there were 123,515 violent offences against women and girls, which had a technology element (3).

In terms of fraud types, both romance fraud and investment fraud reports accounted for 33% (312 reports), with many of the victims being subjected to emotional coercive behaviour over a period of time before emotional influence is exploited to exert financial pressure. Where details of the male person were provided (298 reports), the male person was either an ex-partner or otherwise personally known to the victim. There were 103 reports involving individuals who had self-declared physical or mental health conditions, suggesting male persons may be exploiting these vulnerabilities for financial gain. The true figure is likely to be higher, as some victims may not disclose physical or mental health conditions.

Open-source research indicates that the following are the most common methods through which fraud incorporates a VAWG-related element.

ROMANCE / DATING FRAUD

Fraudsters often build emotional or romantic relationships with victims—usually online—to gain their trust. They then exploit this trust through manipulation, creating dependency or using threats to obtain money, sensitive personal information, or access to finances. Analysis indicates a broadly even gender distribution among romance fraud victims.

VIOLENCE AGAINST WOMEN AND GIRLS

However, a clear disparity exists in financial impact, with women consistently suffering higher average losses than men. Within a VAWG framework, this suggests that while victimisation is not exclusively gendered, female victims may be subject to greater financial harm and sustained manipulation, reflecting patterns of emotional exploitation and coercive control seen across other VAWG-related offences **(4)**.

ECONOMIC ABUSE WITHIN DOMESTIC RELATIONSHIPS

Economic abuse within domestic relationships is also present within VAWG analysis. This is when a current or former partner exploits an established pattern of abuse to perpetrate fraud, using coercion and intimidation to force victims to take out loans, open bank accounts, sign financial agreements or act as money mules. Any apparent consent is invalid, as actions are carried out under fear or duress. This methodology is frequently misclassified as a civil matter or as victim-enabled fraud, leading to significant under-reporting. In money mule cases in particular, victims can initially be regarded as suspects before being recognised as victims of exploitation and coercion due to the criminal methodologies employed. The most recent statistics for the twelve months up until the end of November 2024, 15% of women experienced economic abuse from a

current or former partner, equivalent to 4.1 million UK women aged over 18 **(5)**.

FRAUD INVOLVING RETALIATORY ECONOMIC ABUSE

Fraud involving retaliatory economic abuse describes instances where an ex-partner engages in identity fraud, fraudulent debt creation, or credit sabotage to continue abusive behaviour after a relationship has ended. It represents a form of post-separation coercive control with potential for significant long-term financial and psychological impact and is frequently misidentified as a personal dispute.

REPORT FRAUD RESPONSE

A programme developed jointly by the National Cyber Security Centre (NCSC) and National Policing Protect Services has been created to support practitioners and police officers working with victims of domestic abuse. The programme provides practical advice and guidance to help victims identify how technology may be used against them. This includes recognising and removing tracking features from devices such as mobile phones, satellite navigation systems, and video-calling equipment. It also supports victims in safeguarding their devices from unauthorised access



Volume
954

Reports Received

Loss
£14.1m

Reported Losses



High Risk Age Group
20-29 Years Old

Any Other High Risk
Victim Characteristics
Identified Physical Or
Mental Health Conditions



by helping them identify phishing emails, suspicious messages, and potential malware. The programme covers key topics such as cyber-enabled domestic abuse. However, research indicates that non-domestic VAWG incidents occur outside of intimate or familial relationships, encompassing offences such as public harassment, sexual violence, stalking, exploitation, and online abuse, including gender-based harassment, threats, FMSE, and coordinated hate campaigns. These offences are characterised by gender-based targeting, coercion, and abuse of power, often involving unknown or loosely connected offenders. However, identifying these forms of VAWG within fraud reporting remains challenging.

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Both romance fraud and investment fraud reports accounted for 33% (312 reports), with many of the victims being subjected to emotional coercive behaviour over a period of time before emotional influence is exploited to exert financial pressure.

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Artificial intelligence (AI) is increasingly used to improve efficiency by generating outputs and automating tasks in real time. However, these capabilities also create opportunities for cybercriminals and fraudsters to commit cyber crime and fraud at scale. AI can generate highly realistic content and perform tasks autonomously, making criminal activity more sophisticated. As AI becomes more widely adopted across society, its use by cybercriminals is highly likely to increase.

REPORTING VOLUMES

Throughout FY2025-26, there was a 395% increase in reports received; from 193 in the previous assessment period to 956 reports this year. These reports have been identified via analysis which focusses on whether the reporting person has determined AI involvement. Identified reporting is then further analysed to ascertain the AI methodology employed by fraudsters. The increase this year is indicative of AI's increased use as a tool to enable cyber crime and fraud; a trend that is likely to continue. It is highly likely that the increase is because of both increased adoption of the use of AI by cybercriminals, and the rising awareness of AI as an enabler amongst the public **(1)**.

In respect of financial losses which can be attributed to AI enabled cyber crime and fraud, 584 reports (64%) presented a loss totalling £9.6m compared to £1.2m presented in the previous financial year.

METHODOLOGIES

The use of AI by criminals has been reported across a range of cyber crime and fraud typologies. The most common methodology which utilised generative AI was investment fraud (37%). AI was used to impersonate celebrities and public figures to advertise and endorse false investment opportunities. It is almost certain their likenesses are being generated to present these false investment opportunities due to public trust in their advice and their reputation. These generative capabilities are not only being used for investment fraud, but also within romance fraud where 115 reports were identified representing 12% of the total reports. There is no apparent trend regarding which celebrity likeness or public figure is exploited, though it is highly likely criminals will change who they choose to impersonate depending on victim interests. Reports highlight the use of 'face-timing' being used; therefore, it is almost certain cybercriminals are using real-time AI generation to deceive the victim **(2)**.

VICTIMOLOGY

It is almost certain that AI is increasingly being used by cybercriminals and fraudsters as an enabler of criminal activity.

Intelligence suggests that the age range accounting for the greatest volume of victims is those aged between 60-79 years (37%).

REPORT FRAUD RESPONSE

AI as an enabler is a continuously evolving threat, making it important for law enforcement and industry partners to maintain an awareness of the risks it presents. Continued collaboration between law enforcement and industry is essential to developing a shared understanding of the threat landscape. Report Fraud continues to work closely with the Home Office, National Crime Agency and other partners to share insights that help inform and support the development of policies and approaches aimed at countering this threat.

FUTURE & EMERGING THREAT

AI adoption continues to increase as its benefits across society become more widely recognised; however, the associated risks are also likely to grow.

While quantum AI is currently under development, it has the potential to significantly alter the threat landscape and should therefore be considered as an emerging risk **(3)**.

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Working alongside Report Fraud has been vital to understand the AI threat from a victim perspective as it develops. This has enhanced our understanding of how cybercriminals are adopting AI, tracking the victim experience of AI enabled fraud, and enabling us to identify mitigation opportunities in line with the Fraud Strategy.

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Home Office



Volume
956



Reports Received
Volume Change from Previous Year
Increase of 395%

Loss
£9.6m



Reported Losses
Volume Change from Previous Year
Increase of 700%

High Risk Age Group
60-79 Years Old (37%)

Cryptocurrencies are used for both legitimate and illicit trade, and cryptocurrency related fraud is continually evolving, utilising artificial intelligence (AI), phishing and social engineering to entice victims. Cryptocurrency is commonly identified in reports of investment fraud, both as a commodity and payment method. Many methodologies involve seemingly legitimate websites or applications which use investment jargon to feign legitimacy. These fraudulent platforms can be difficult to identify, with potentially devastating consequences for those who become a victim. In some cases, victims may be approached by fraudsters via social media platforms, who claim they can generate profits by trading cryptocurrency for the victim. Cryptocurrency as a method of payment across fraud types means it is challenging for law enforcement to identify fraudsters, as its decentralised and borderless features complicate regulatory oversight, thus enabling illicit financial activities (1).

Fraud involving the use of cryptocurrency has been identified across multiple fraud typologies, with a total of 32,493 reports across 53 Home Office Counting

Rule (HOCR) codes for FY2025-26. A cryptocurrency coin type was reported in 10,872 reports with Bitcoin being the most referenced coin across all reporting (5,542 reports, 51%); this was a 26% increase compared to the previous assessment period.

The growth in the use of cryptocurrency is likely attributed to factors such as increasing adoption of blockchain technology, rising demand for decentralised finance (DeFi) solutions, greater institutional investment, and ongoing regulatory developments. Enhanced transparency, security, and faster transactions also continue to attract users (2).

VICTIMOLOGY

Individuals aged 30-39 were most likely to be victims of cryptocurrency-related fraud accounting for (21%) compared to other age groups. This is likely to be attributed to the fact that this age group is technologically engaged, making them more inclined to participate in cryptocurrency investments.

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Cryptocurrency is commonly identified in reports of investment fraud, both as a commodity and payment method.

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METHODOLOGIES

A recurring methodology identified across cryptocurrency reporting are frauds related to fraudulent job opportunities. Fraudsters impersonate employees of legitimate companies, promoting work-from-home opportunities that promise high financial returns. After a victim responds to an advertisement or is contacted via social media platforms, they are provided with online training and assigned tasks on cryptocurrency platforms. These tasks typically require the victim to deposit their own funds to proceed. Although the tasks may vary, they consistently involve making deposits in exchange for supposed salaries or commissions. Victims are eventually persuaded to make larger payments, which often result in their accounts being frozen or their funds being misappropriated by the fraudsters.

For individuals with existing cryptocurrency accounts, account compromise features prominently across reporting. This commonly occurs with victims being targeted with fraudulent emails containing links prompting them to verify their identity.

Upon doing so, victim credentials are captured, leading to unauthorised access and the subsequent transfer of funds, often confirmed through legitimate platform notifications. In addition, victims may be contacted directly by fraudsters who claim that their cryptocurrency wallet has been compromised. The victim is then advised to transfer their funds to an alternative wallet to secure them.

In some cases, the fraudster impersonates a legitimate entity, such as a bank representative or platform provider, convincing the victim that their account is at risk. As a result, a victim is persuaded to act quickly, leading to the transfer of funds to wallets controlled by the fraudster.

Cryptocurrency regulation is undergoing further formalisation under the Financial Services and Markets Act (FSMA), 2000 (Cryptoassets) Regulations 2026, which came into force in early 2026. This regulatory framework expands the remit of the Financial Conduct Authority to include cryptoassets, with full implementation of regulatory rules expected from 2027. The new cryptocurrency regulations in the UK are expected to impact the volume of cryptocurrency related fraud by enhancing consumer protection **(3, 4)**.



Volume

32,493

Reports Received

High Risk Age Group

30-39 Years Old (21%)



GLOSSARY AND REFERENCES



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Account Compromise: The unauthorised access or control over a user's online account.

Account Repatriation: The process of restoring ownership of a compromised account to the rightful owner.

Artificial Intelligence (AI): AI is a technology within computing that can perform tasks that are commonly only dealt with by human intelligence. This enables a computer to perform reasoning, learn, generate and perform tasks autonomously.

Attack Vector: An attack vector is a pathway or method through which cybercriminals gain unauthorised access to exploit vulnerabilities and or malicious activity.

Business Email Compromise (BEC): See PDF

Commodity: A substance or product that is traded, sold or bought.

Courier Fraud: Courier fraud occurs when a suspect contacts victims by telephone purporting to be a law enforcement official or bank staff. The victim is persuaded to co-operate with an 'operation' designed to gather evidence or identify offenders responsible for a fictional offence. Victims are requested to withdraw money from their bank, hand over bank cards or purchase an expensive item to assist with the investigation on the promise that the money or item will be returned or compensation provided. The money or item is then handed over to a 'courier' who attends the victim's address or meets them nearby. At this stage, the offence is complete but may be repeated on the same victim multiple times.

Credential Stuffing: A type of cyberattack whereby cybercriminals in possession of account credentials – typically lists of username and password pairs from data breaches – attempt to gain unauthorised access to user accounts across other platforms via automated login requests, exploiting password re-use.

Cyber PATH: is a police-led, business-focused programme that aims to develop an elite cyber talent pipeline.

Dark Web: The dark web is part of the internet that is not visible to search engines and requires the use of an anonymising browser called TOR to be accessed.

Data Breach: A security incident whereby sensitive data is accessed, exposed or acquired without authorisation.

Data Exfiltration: The unauthorised transfer of sensitive data from a system.

Disposable Email Addresses: A temporary email address created for short-term use, often generated quickly and without a requirement for personal information.

Financially Motivated Sexual Extortion: Formally known as 'sextortion', is the paying of money or the meeting of another financial demand, such as purchasing a pre-paid gift card, after an offender has threatened to release sexual/indecent images of the victim.

Hybrid Romance Investment Fraud: When romance fraud and investment fraud converge to exploit victims financially. Victims are lured with a romantic relationship and then introduced to a fake investment scheme.

Invoice Fraud: Attackers commonly pose as suppliers, request payment for a fraudulent invoice where the payment details direct funds to an account controlled by them.

IP Address: An internet protocol address (IP) is a numerical identifier that is recognised by servers/computers. It is how websites and other internet locations are identified.

Online Ordering Platform Services fraud (OOPS): Where a suspect will deceive a victim into changing account details linked to services, namely reservations for hotels, restaurants, and ordering, expanding to include other services.

Payment Diversion Fraud (PDF): Is the act of an offender manipulating a victim by gaining their trust to then change the course of a payment to an account managed by the offender.

Pension Account Takeover Fraud (PATF): A PDF methodology that diverts from Common Mandate transfers and uses Pension as the source of funds for transfer.

Phishing: Untargeted mass emails sent to many people asking for sensitive information (such as bank details) or encouraging them to visit a fake website. Phishing is a method employed by fraudsters to try and obtain personal details such as usernames and passwords.

Police Cyber Alarm (PCA): A threat detection tool funded by the Home Office and managed by the police led National Cyber Crime Team that will identify malicious external cyber activity against a member's network through monitoring and vulnerability scanning.

Quantum AI: Seeks to use the power of quantum computers to make AI systems faster and more capable for specific types of software challenges and is able to explore solutions in parallel, enhancing learning and problem solving. Quantum AI is largely in development.

Ransomware: A term that covers network intrusions that attempt to, or result in, the encryption or exfiltration of data that is used to extort funds from victims.

Regulatory controls: The internal policies, procedures, and technological systems a business or institution uses to ensure adherence to laws and external standards.

Repeat victimisation: Refers to when the same individual or location is targeted and victimised more than once by crime.

Romance Fraud: Also known as dating scams, involve people being duped into sending money to criminals who go to great lengths to gain their trust and convince them that they are in a genuine relationship.

Session Hijacking: A type of cyberattack whereby a user's active session is intercepted or stolen to gain unauthorised access to an account or system, bypassing authentication measures such as passwords and MFA.

Session: A temporary, active connection between a user and a system that maintains the user's authenticated state during their interaction without requiring the user to repeatedly enter login credentials.

Social Engineering: Manipulating people into carrying out specific actions, or divulging information, that is of use to an attacker.

Spoofed: Masquerading as another individual or entity by falsifying data, thereby gaining an illegitimate advantage.

Threat Actor: An entity whose aim is to exploit a vulnerability with malicious intent.

Virtual Private Network (VPN): Changes your IP address by rerouting your internet traffic through servers via an encrypted pathway.

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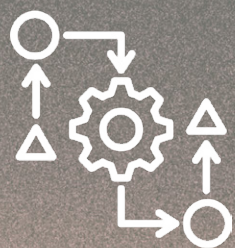
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METHODOLOGY



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System Used: Report Fraud's National Crime Analysis System (N-CAS) has been used to obtain data to inform this assessment. Report Fraud is a self-reporting tool; therefore, the information provided within the reports may not have been verified by law enforcement, interrogated for authenticity/accuracy and may be subject to discrepancies. The data held within it is therefore open to human error and misclassification.

Most Harmful Frauds: An assessment of cyber crime and fraud reported to Report Fraud by crime type has been assessed using the Management of Risk in Law Enforcement (MoRILE) model. This considers the impact of the crime upon the victim, financial, community, moral and organisational impact. It compares this to the likelihood of offences using volume and frequency of offending.

Data:

- N-CAS was used to extract Report Fraud data for England, Wales and Northern Ireland. To ensure uniformity, this Annual Assessment has not included Scotland in the high-level reporting figures for cyber crime and fraud. This ensures an accurate comparison can be drawn against the previous year for headline figures.
- Only crime reports were extracted from N-CAS. Therefore, data includes crime reports sourced from Cifas to strengthen the intelligence

picture, in addition to reports submitted directly through the Report Fraud contact centre or online reporting tool.

- All data was analysed in May 2026 and the statistics provided may differ to future requests due to reviewing and system processes.
- Reported financial losses are based on loss amounts as reported in Report Fraud recorded crimes and these have not been verified. Where possible, where financial losses above £500,000 have been alleged, these have been reviewed on an individual basis to ascertain accuracy, though further investigation may be required to determine if loss amounts are a true reflection of the financial impact of the reported crime.
- From December 2025, the reported losses are derived from a field where all foreign currencies have been converted to pound sterling (GBP). Prior to December 2025, a static conversion rate was used.
- Cryptocurrency losses have been excluded from reported financial loss calculations. However, reports referencing cryptocurrency are included in all other aspects of the analysis, including report volume data.
- All reported financial losses have been rounded to the nearest pounds.

- Where possible, all percentages have been rounded to the nearest whole number.
- While address-recording issues are being resolved, there may be some temporary inaccuracies in the data used to identify a victim's local police force.



HANDLING



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HANDLING INSTRUCTIONS

This document has been classified as OFFICIAL – FOR PUBLIC RELEASE.

This document has been approved for public release and may be shared without restriction.

FEEDBACK

Report Fraud welcomes feedback to evaluate the quality of our products through continuous improvement and to inform our priorities. If you have feedback or additional information that you would like to provide, then please submit via or Microsoft Forms [The Report Fraud Annual Assessment 2025-2026 Cyber Crime and Fraud](#)

The public facing dashboard continues to be updated every month and displays the last 13 months of data by force area. [Report Fraud Analysis Services \(Public\)](#)

The Report Fraud Annual
Assessment 2025-2026 Cyber
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